



| UPDATE **RUPEE** |

SLIPPING AND SLIDING

The rupee has depreciated against the dollar in recent times and, according to experts, is likely to maintain its downward trend for the rest of the year

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► **THROUGH THE TURMOIL** of the past few months, one thing has remained constant: the slide of the rupee against the US dollar. In recent months, the Indian currency has touched new all-time lows and experts say the downward ride is not over yet. The rupee has declined by about 25 per cent against the dollar since December 31, 2014, Finance Minister Nirmala Sitharaman told the Lok Sabha recently, citing data from the Reserve Bank of India. On December 31, 2014, the exchange rate stood at ₹63.33 against the dollar, while on July 11 this year, the number was at ₹79.41, Sitharaman had said in Parliament in response to a question.

Why did the rupee depreciate, especially in recent months? According to Sitharaman, global factors such as the Russia-Ukraine conflict, soaring crude oil prices and tightening of global financial conditions were the major reasons for it weakening against the dollar. As of July 29, the